

assumed rate of $4\frac{1}{2}\%$ —in other words, to assuming that the true debt is that figure, $4\frac{1}{2}\%$ on which will produce the annual fixed charges. (The $4\frac{1}{2}\%$ figure reflects the actual current interest rate carried by railroad indebtedness as a whole in 1938.)²

Technique Illustrated. We have suggested that the earnings coverage for railroads be applied to either the Net Deductions or the Fixed Charges (as previously defined), whichever are larger. In the same way the larger of these two items should be used as the base for computing the principal amount of the road's "effective debt." The technique to be followed is illustrated herewith:

Examples:

New York, New Haven and Hartford Railroad

A. Net deductions (1932)	\$ 18,511,000
B. Fixed charges (1932)	17,403,000
Net deductions capitalized at $4\frac{1}{2}\%$	\$408,000,000
(Funded debt shown on balance sheet—\$258,000,000)	
Preferred stock: 490,000 sh. @ 50 (July 1933)	\$ 24,500,000
Common stock: 1,570,000 sh. @ 22 (July 1933)	34,500,000
Total market value of stock issues	\$ 59,000,000
Stock-to-bond ratio—1 to 6-9	
Net deductions earned, 1932	0.93 times
Net deductions earned, 7-yr. average	1.57 times

Chesapeake and Ohio Railway

A. Net deductions (1932)	\$ 9,870,000
B. Fixed charges (1932)	10,760,000
Fixed charges, capitalized at $4\frac{1}{2}\%$	\$239,000,000
Bonded debt shown on balance sheet	222,000,000
Common stock: 7,650,000 sh. @ 38 (July 1933)	291,000,000
Stock-to-bond ratio—1 to .82 (i.e., \$1 of stock to 82 cents of bonds)	
Fixed charges earned, 1932	3.21 times
Fixed charges earned, 7-yr. average	3.80 times

Conclusions Based on Foregoing. The "effective debt" of the New Haven was computed from the net deductions (which are larger than the fixed charges, because they include a substantial debit for equipment rentals, etc.). This effective debt is considerably more than that shown in

² In the few instances in which a *public utility* shows rental payments not reflected in the balance sheet, it would be sufficient to capitalize such a rental at, say $4\frac{1}{2}\%$ and add this value to the senior security total.